

REAL ESTATE PURCHASE AGREEMENT

THIS AGREEMENT is made this _____ day of _____, 2024 (“the Effective Date”), by and between Capital Assets LLC (collectively, “Seller”), and the **City of Overland Park, Kansas**, a municipal corporation organized and existing under the laws of the State of Kansas (“Buyer”).

WITNESSETH:

WHEREAS, Seller is the owner of certain real property in Overland Park, Johnson County, Kansas, generally located to the south of the building located at 7331 W. 79th Street, Overland Park, Kansas, and to the north of the Overland Park Farmers’ Market located at 7950 Marty St, Overland Park, Kansas, legally described in **Exhibit A**, which is attached hereto and incorporated by reference as if fully set forth herein (“the Property”); and

WHEREAS, Seller is willing to sell and Buyer is willing to purchase the Property, and by this written Agreement the parties desire and intend to set forth the terms and conditions of their agreement in writing.

NOW THEREFORE, in consideration of the mutual covenants contained in this Agreement and other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the parties agree as follows:

1. **Approval.** This Agreement is subject to the express and official approval of the Governing Body of the Buyer. In the event the Governing Body does not expressly and officially approve this Agreement by August 20, 2024 (“the Approval Date”), this Agreement shall become null and void and the duties and obligations of the Buyer and Seller under the terms of this Agreement shall be forever discharged.

2. **Sale.** Seller agrees to sell, and Buyer agrees to buy the Property, including any improvements thereon.

- a. **Purchase Price.** The purchase price for the Property is \$131,414.00 (“Purchase Price”).
- b. **Escrow.** On or before the Closing Date, as hereinafter defined, the Purchase Price (subject to prorations, reductions, and credits as provided below) shall be deposited by Buyer into escrow held by a title company chosen by Buyer, and approved by the Seller, with such approval not to be unreasonably withheld, which will facilitate the Closing, as defined herein, and act as an escrow agent (“**Title Company**”). The Purchase Price, less any such prorations, reductions, and credits, shall be disbursed by Title Company to Seller at Closing, as hereinafter defined.

3. Property Sold "As-Is." Buyer acknowledges the improvements located on the Property are to be demolished. Subject to the provisions of paragraphs 3a, 3b and 4a below, Buyer accepts the Property "As-Is" as of the date of the execution of this Agreement, without any warranties or representations from Seller regarding the use, condition, or habitability of such property or improvements. Seller agrees that after the date of the execution of this Agreement, the Property shall not be altered in any manner that impairs its future use by the Buyer.

a. Environmental Assessment. Buyer's obligations under this Agreement are contingent upon Buyer ordering a Phase I Environmental Report (the "Environmental Report") within ten (10) days of the Approval Date and receiving an Environmental Report that is satisfactory to Buyer regarding the environmental conditions directly and/or indirectly affecting the Property. Buyer shall be responsible for the costs of the Environmental Report. Whether the Environmental Report is satisfactory shall be the sole and absolute discretion of the Buyer. Buyer may obtain this report upon written approval by the Seller or at any time between the date of execution of this Agreement and the Closing Date, as hereinafter defined. In the event Buyer determines that the report is not satisfactory, Buyer may, at Buyer's option, extend closing up to thirty (30) days in order to obtain a Phase II Environmental Report, in which case Buyer's obligations under this Agreement will be contingent on receiving a Phase II Environmental Report satisfactory to Buyer, or Buyer, at its option, may terminate this Agreement, and the duties and obligations of the Buyer and Seller under the terms of this Agreement shall be forever discharged.

b. Survey. Buyer shall obtain a current survey of the Property and initiate the planning process to make the Property become a separate lot (e.g. by lot split or replat) prior to the Closing Date.

4. Fee Simple Title. Buyer shall obtain a certification of title, and Seller agrees to provide merchantable fee simple title to the Buyer as of the date of recording of the deed, subject only to such liens and encumbrances as may be approved by the Buyer. The Buyer shall, within 14 days prior to closing, deliver such certificate to Seller. Seller shall, prior to closing, secure and file any and all lien releases as may be necessary in order to deliver merchantable fee simple title to the Buyer. In the event that Seller is unable to secure such releases, the Buyer shall be entitled to extend closing for up to thirty (30) days in order to secure and file releases, or the Buyer, at its option, may utilize as much of the above-stated Purchase Price as is necessary to satisfy any and all such liens which encumber merchantable fee simple title.

a. Title Insurance. Seller shall provide a title insurance policy for the Property from the Title Company in an amount and type acceptable to Buyer, for the benefit of the Buyer, insuring the Buyer receives title to the Property free and clear of all liens, encumbrances, easements, conditions or restrictions, except for encumbrances expressly allowed by Buyer (the "Title Insurance Policy"). If the Title Company is unable to issue such a Title Insurance Policy or the Title Insurance Policy is not satisfactory to Buyer, then Buyer,

at its option, may terminate this Agreement, and the duties and obligations of the Buyer and Seller under the terms of this Agreement shall forever be discharged.

5. Proration. Seller shall pay all real property and other taxes, general and special, all assessments of any kind or nature, which are due and have accrued for the years prior to the calendar year of closing. All such taxes and assessments becoming due and accruing during the calendar year of closing shall be prorated between Seller and Buyer on the basis of such calendar year, as of closing. And the Buyer shall assume such taxes or assessments which become due and owing after the date of closing.

6. Closing. The sale and purchase provided herein shall be consummated at a Closing at the Title Company to be held at a date and location determined by the Buyer not longer than one hundred and twenty (120) days after the Approval Date. The date and event of the sale and purchase respectively are referred to herein as the "Closing Date" and the "Closing." On the Closing Date, Seller shall deliver to the Buyer a Special Warranty Deed conveying to the Buyer the fee simple interest in the Property, sold free and clear of all liens, taxes, charges, and encumbrances whatsoever, excepting any permitted exceptions and any other recorded restrictions and easements approved by the Buyer. At the Closing, all monies and papers shall be delivered and all other things called for by this Agreement shall be done, including the proration of taxes, assessments, and other items called for in this Agreement.

7. Closing Costs. Seller agrees to pay the costs of releasing all liens, judgments, and mortgages that are to be released pursuant to the terms of this Agreement and any recording fees related to said releases. Buyer and Seller agree to split any escrow fees charged by the Title Company. Buyer shall pay the cost of the Title Insurance Policy. Seller shall pay the costs of recording all conveyance and other instruments tendered by Seller to Buyer and all other costs of the Closing which are not specifically addressed herein.

8. Possession. Seller shall be entitled to Possession of the Property until the Closing, at which time the Seller shall deliver absolute and unqualified possession of the Property to the Buyer. Provided, that prior to Closing Buyer, or its agents, shall have the right to enter upon the Property to survey or to make soil tests, and any other studies and examinations, provided Buyer shall not unreasonably interfere with Seller's use of the Property. On behalf of itself and its agents, Buyer agrees Seller shall not be held responsible or liable for any claim related to Buyer or its agent's entry onto the Property for tests, studies, and examinations.

9. Seller Representations. As a material inducement for Buyer to enter into this Agreement, from the date hereof to the Closing, Seller agrees that it shall: (i) pay all real estate taxes against the Property; (ii) neither enter into or grant any leases, easements, or other agreements providing for use or occupancy of, or access through, the Property, or any portion thereof, or assign, modify, amend, renew, extend or terminate any leases, easements or similar agreements, without in each case the prior written consent of Buyer; and (iii) neither encumber the Property with any lien, mortgage, restriction, or encumbrance, no alter, amend, or modify any existing lien, mortgage, restriction or encumbrance on the Property, without in each case the prior written consent of Buyer.

10. Real Estate Commissions. Buyer shall not be liable for any real estate commissions arising from real estate agents or real estate brokers providing services to Seller or acting as an agent of Seller. Seller represents that it has not engaged the services of a real estate agent or broker in relation to this transaction, and that to the best of its knowledge no person or entity has a claim for any commission in connection with this transaction. In the event that any person or entity claims a commission from Seller for services provided to Seller in relation to this transaction, such commissions are the sole responsibility of Seller. Seller agrees to indemnify and hold Buyer harmless from and against all liability, costs, and expenses, including reasonable attorneys' fees, arising out of or pertaining in any manner to any claim for any such commission claimed from Seller. Buyer represents it has not engaged the services of a real estate agent or broker in relation to this transaction, and that to the best of its knowledge no person or entity has a claim for any commission in connection with this transaction. In the event that any person or entity claims a commission from Buyer for services provided to Buyer in relation to this transaction, such commissions are the sole responsibility of Buyer. The provisions of this paragraph shall survive Closing or termination of this Contract.

11. Property Vacant. The parties agree the Property will be vacant at the time of Closing, and that the sale contemplated by this Agreement shall not result in the displacement of any person, as defined by Kansas or Federal law.

a. Removal of Personal Property. Prior to the Closing Date, the parties agree Seller may, at its own cost and expense, alter the improvements located on the Property to the extent necessary to remove Seller's personal property. However, upon such alteration, Seller shall, at its own cost and expense, restore the improvements to a safe, structurally sound, habitable, and weatherproof condition prior to Closing. Any such restoration shall be subject to the inspection and approval of the Buyer.

12. Use of Premises for Public Improvements. The parties acknowledge and agree that it is understood that Purchaser, as a Kansas municipality, intends to utilize some or all of the Premises for a public improvement project (or projects), and that while currently Purchaser has no plans to utilize any state or federal funds or grants for such project(s), it reserves the right to do so should such funds become available. Being informed of the premises, Seller states as follows:

a. The Property is currently unimproved and will be vacant at the time of Closing, and that the sale contemplated by this Agreement shall not result in the displacement of any person as defined by Kansas or Federal law, including but not limited to, the Uniform Relocation Assistance and Real Property Acquisition Policies Act, or its implementing regulations (49 CFR Part 24).

b. Seller is fully informed that when federal or certain state funds are utilized for a public improvement project, an appraisal may be required before the acquisition of the Premises. Understanding these provisions, Seller states that it understands that, at this time, no such funding has been allocated for this acquisition, that it has engaged its own professionals to make any appropriate assessments of fair market value for the sale of the

Property, that the decision to sell and transfer the Property to Buyer was made without any undue influence or coercive action of any nature, and further, that any right to an appraisal and to just compensation as contemplated under any Kansas or Federal law is hereby waived.

13. Additional Consideration. As further consideration for this Agreement, the parties agree, acknowledge, warrant, and represent:

a. The foregoing recitals are true, correct, constitute the intent of the parties, and are incorporated by reference into the terms of this Agreement; and

b. The consideration expressed in this Agreement is contractual and not a mere matter of recital; and

c. No promise or agreement not expressed in this Agreement has been made by the parties, and any amendments or modifications to this Agreement shall be in made in writing; and

d. All prior oral or written statements relating to the subject matter of this Agreement are merged into this writing; and

e. They have carefully read the foregoing Agreement and know the contents thereof and have signed the same as their own free act; and

f. In executing this Agreement, they do not rely on any statement or representation made by the other or their respective agents, attorneys or employees, but they rely solely upon their own judgment; and

g. The person executing this Agreement has been duly authorized by all requisite corporate or other entity action, if applicable, and no other proceedings on the part of the party on whose behalf they execute this Agreement are necessary to authorize this Agreement and the conveyances contemplated in the Agreement; and

h. Each shall cooperate fully and execute any and all supplementary documents and take all additional actions that may be necessary or appropriate to give full force and effect to the basic terms and conditions of this Agreement; and

i. This Agreement shall be binding upon the heirs, successors and assigns of the parties; and

j. This Agreement shall be construed and interpreted in accordance with the laws of the state of Kansas.

IN WITNESS WHEREOF, the parties have hereto set their hands the day and year first written above.

[Remainder of page intentionally blank. Signature pages follow.]

CAPITAL ASSETS LLC

By: _____

ACKNOWLEDGMENT

STATE OF _____)
)ss.
COUNTY OF _____)

BE IT REMEMBERED that on this _____ day of _____, 2024, before me, the undersigned, a notary public in and for the county and state aforesaid, came _____, who is personally known to me to be the same person and who executed the within instrument of writing, and such person duly acknowledged the execution of the same for the purposes and consideration therein expressed.

IN WITNESS WHEREOF, I have hereunto set my hand and affixed my official seal the day and year last above written.

_____ My appointment expires: _____
Notary Public

(SEAL)

CITY OF OVERLAND PARK, KANSAS

Curt Skoog
Mayor

ATTEST:

Elizabeth Kelley
City Clerk

APPROVED AS TO FORM:

Michael Koss
City Attorney

EXHIBIT A – LEGAL DESCRIPTION OF THE PROPERTY

To Be Completed